



Exploring the Business Model

Phase I of Your Research

Overview of Exploration

The goal here is to understand the franchise and certain key areas from a 30,000-foot view so you can get a strong feel for the company and business model and make a decision if it's worth taking the next step which is Validation. You're going to work directly with a representative from the franchisor to gather information around key areas of the franchise such as the business model, their history, unit economics, support, track record, investment, and other key operational areas.

During Phase I, you are going to learn about the business from a representative of the franchisor through a series of calls, videos or webinars. You're also going to have an opportunity to review the Franchise Disclosure Document (FDD) which is a very comprehensive, and overwhelming, document that a franchise company must present to you per Federal Trade Commission Guidelines.

The goal of Phase I is to gather the information you need to determine if there is a potential fit. After Phase I, you'll then validate everything by speaking with actual franchise owners.

Here are the different areas to explore...

Get to know the company

- Who are the founders and what inspired them to franchise their business?
- How many franchise owners are there?
- What are the company's values and what is the culture like?
- What is the company's track record of opening successful franchises locations?

Business model (from the owner's perspective)

- What is the owner's role in the business day-to-day?
- How does the franchise acquire customers?
- What are the key skills required to be a successful franchise owner?
- What separates the top franchise owners from the average/bottom performers?

The customers

- Who is their typical customer?
- What problem(s) does it solve for their customers?
- Why do customers buy from this franchise?
- What sustainable value does this franchise offer that will keep customers buying from them for a long time?
- How is the service priced to the customer?
- Who are the competitors and how is this franchise better?

Support, training, and infrastructure

- What kind of initial and ongoing training is provided?
- What type of ongoing support is provided and how is it provided?
- What type of software and technology is provided by the franchise?

Financials

- What are the startup costs?
- How much working capital is recommended?
- How fast are franchises ramping up to break even?
- How fast to positive cash flow?
- How are most franchise owners funding their business?
- What are the key metrics of the business that franchise owners watch closely?
- What can you tell me about the unit economics of the business? Revenues? Cash flow/EBITDA? Fixed expenses? Variable expenses?
- What fees does the franchise company charge?

Questions for the Sales Rep him/herself

- How long have you worked for the company?
- How many franchise owners have you helped bring aboard?
- Which owners who you've brought aboard are the most successful?

Territory available

- Do you have any operating franchise locations in and around X area?
- What specific area/franchise territories are available in and around X area?

The Discovery Process

- What does the Discovery Process look like?
- When do I receive the FDD and when can I speak with franchise owners?

Information you need to prepared to share and questions you should be asked...

- What has you thinking about starting your own business?
- What long term plans and goals do you want to achieve by building your own successful business?
- What do you expect from a franchisor?
- Talk about your skills, interests, background and what you actually want to be doing as a business owner.
- Be prepared to talk about your comfort level around the following...
 - Marketing a business
 - Managing and leading people
 - Working with customers
 - Following and implementing a system to generate results
- Why you are interested in their business
- And, anything else you think is important for the franchisor to know...